

EQUITY RESEARCH CHALLENGE

WhiteRock MF | UDGAM'26

GARP SMALL & MID-CAP HYBRID FUND

❖ About the Fund

The fund is an open-ended, equity-oriented hybrid scheme that follows a **GARP-based small and mid-cap** strategy with a strategic allocation to high-quality debt instruments for stability and risk management. The primary objective is to generate superior risk-adjusted returns over a **3-5 year** investment horizon by investing in fundamentally strong, scalable businesses operating in structurally high-growth arenas such as **information technology** and **AI-driven services, healthcare** and **insurance**, and **new-age consumer and internet platforms**, while using the debt sleeve to cushion drawdowns and smooth portfolio volatility.

The investment philosophy combines growth at a reasonable price (GARP) with principles of value investing and balance-sheet quality, aiming to identify companies that exhibit consistent double-digit revenue and earnings growth, strong return ratios, prudent leverage, and healthy cash generation, yet trade at valuations that offer a margin of safety relative to their growth prospects. The portfolio is intentionally biased towards small and mid-cap companies where market inefficiencies are higher and long-term compounding potential is greater, but maintains diversification across at least three sectors and includes a dedicated debt allocation to mitigate sector-specific cyclicalities and funding-cycle risk.

From a risk-profile perspective, the scheme is positioned as **Moderately Low Risk** on a hybrid-fund spectrum: equity exposure to smaller companies introduces price volatility, but this is partly offset by disciplined quality filters, sectoral diversification, and the presence of investment-grade debt holdings. The fund explicitly targets a controlled tracking error versus its benchmark, aiming to generate alpha through stock selection and sector tilts rather than aggressive market timing, and uses the debt sleeve tactically to manage liquidity and downside risk in periods of heightened equity market stress.

The primary benchmark for the scheme is **NIFTY Smallcap 250 TRI**, which appropriately reflects the opportunity set of Indian small-cap and lower mid-cap companies across sectors and provides a transparent yardstick for evaluating equity performance over the medium term. Performance will be assessed over rolling 3 and 5-year periods against this index, with an explicit intention to outperform on a risk-adjusted basis while preserving capital through prudent security selection, conservative balance-sheet bias, and measured use of debt within the hybrid mandate.

> Portfolio classification by Industry allocation (%)

IT - Services	20.25
IT - Software	9.10
IT - Hardware	8.45
Pharmaceuticals & Biotechnology	19.70
Insurance	11.10
Healthcare Services	8.60
Retailing	22.80

> Portfolio (%)

Dynacons Systems & Solutions	10.75
Ceinsys Tech	9.10
Cigniti Technologies	9.50
Techno Electric	8.45
Marksans Pharma	8.20
ZyduS Lifesciences	11.50
Global Health	8.60
ICICI Lombard Gen	11.10
Aditya Vision	9.20
Indiamart InterMesh	13.60

WhiteRock

GARP HYBRID FUND

An Open-ended Hybrid Scheme predominantly investing in small & Mid cap stocks

FUND DETAILS

- Type of Scheme
An open-ended equity-oriented hybrid scheme following a GARP-based small & mid-cap strategy with a strategic debt allocation for stability and risk management.

- Fund Manager: Mr. Harsh Aryan (CIO)
- Managing Since: Dec - 2025
- Total Experience: Over 2 years

- Benchmark: NIFTY Smallcap 250 TRI

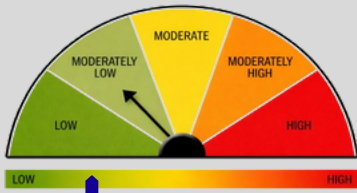
- Exit Load: For exit within one year from the date of allotment -1%
- For exit after one year from the date of allotment
- Nil
- Entry Load: N.A.

- Plans Available: Regular, Direct
- Options: Growth, Dividend

- SIP
Fresh Registration through Systematic Investment Plan (SIP) and Systematic Transfer Plan (STP), individually or cumulatively, shall be allowed for a maximum of upto Rs. 50,000/- per PAN for monthly, quarterly, semi-annual and annual frequency. Fresh registration through Weekly SIP/STP-in individually or cumulatively, in the Scheme will be capped at Rs. 12,500 per instalment, leading to capping the total amount via Weekly SIP / STP-in at Rs. 50,000 per month per PAN (first holder/guardian PAN).

- Minimum Investment
₹ 50,000 & in multiples of 1
- Additional Investment
₹ 15,000 & in multiples of 1
Fresh subscriptions through lumpsum investment (including additional investments / Switch in) in the Scheme are being accepted with effect from January 24, 2026 till further notice. The lumpsum investments will be accepted till the receipt of net inflows in the Scheme up to ₹ 1000 crore from the date of opening the scheme for lumpsum subscription. However, all the conditions / restrictions pertaining to SIPs/STPs shall continue to remain unchanged under the Scheme.

RISKOMETER



The Risk of this Scheme is Moderately Low

This product is suitable for investors who are seeking*

- Long term capital appreciation.
- Investments primarily in equity and equity related instruments, with exposure in debt and money market instruments.

❖ Key Industry Rationale

INFORMATION TECHNOLOGY, AI & DATA-CENTER SERVICES

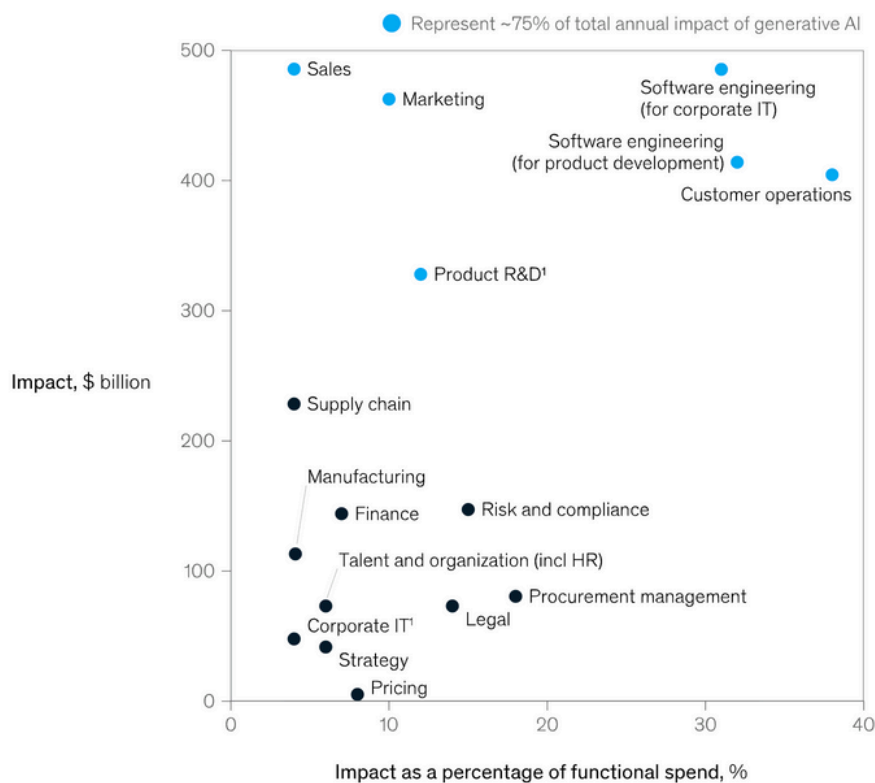
Global Economy

Artificial intelligence is emerging as one of the most important new engines of global growth, reshaping business models, productivity and competitive dynamics across virtually every sector of the world economy. Estimates cited in recent research suggest that AI could add around USD 13 trillion to global GDP by 2030, equivalent to raising annual global growth by about 1.2 percentage points, primarily through productivity gains, process automation and new AI-enabled products and services. Case studies show that firms deploying AI in operations and production have already achieved cost reductions of up to 30% and productivity improvements of about 20%, indicating that the macro projections are grounded in observable micro-level performance gains.

Within the broader AI landscape, generative AI (GenAI) is expected to be a major incremental driver of value. McKinsey estimates that GenAI could create USD 2.6-4.4 trillion in additional economic value per year across use cases such as customer service automation, marketing and sales optimisation, software development acceleration, and R&D and product design. This would increase the total estimated impact of AI by 15-40% relative to earlier, pre-GenAI projections, highlighting how rapidly the technology is expanding the addressable value pool.

At a macro level, the diffusion of GenAI and other AI technologies could lift global labour productivity growth by roughly 0.5-3.4% per year between 2023 and 2040, helping offset ageing-related headwinds and supporting a higher long-term growth path for the global economy.

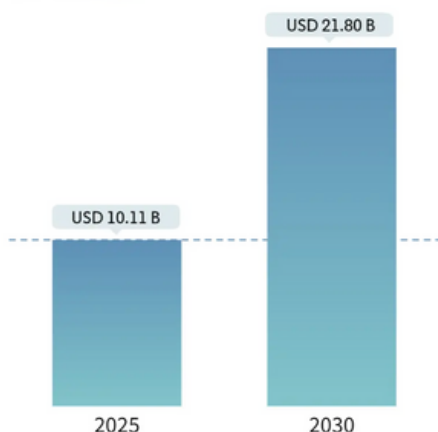
Source: Bachir, B. M., Adel, Z., & Ahmed, N. (2023). *Economics of artificial intelligence: How AI is changing business models and the risks associated with it: An analytical study*. *International Journal of Economic Perspectives*, 17(1), 99-115 & McKinsey & Company



Source: McKinsey & Company

India Data Center Market

Market Size in USD Billion
CAGR 16.61%



Source: Mordor Intelligence

The India Data Center Market size is estimated at USD 10.11 billion in 2025, and is expected to reach USD 21.80 billion by 2030, at a CAGR of 16.61% during the forecast period (2025-2030). In terms of IT load capacity, the market is expected to grow from 4.48 thousand megawatt in 2025 to 12.47 thousand megawatt by 2030, at a CAGR of 22.72% during the forecast period (2025-2030). The market segment shares and estimates are calculated and reported in terms of MW. This sharp expansion stems from six forces: hyperscale cloud investments unlocked by Digital India incentives, explosive OTT traffic that pulls edge nodes into tier-2 cities, mandatory data localization rules, power purchase agreements that derisk renewable sourcing, submarine cable capacity that quadruples international bandwidth, and surging AI workloads that push rack densities above 50 kW. Cloud providers have lined up multi-billion-USD campuses, while domestic operators are pivoting to GPU-ready designs and renewable capacity additions. International connectivity upgrades at Mumbai and Chennai reduce latency for cross-border traffic, enhancing the attractiveness of the India data center market to Asia-Pacific interconnection hubs. Simultaneously, RBI and MeitY localization mandates create non-discretionary demand from BFSI and public-sector users, anchoring long-term utilization. Against this backdrop, operators with renewable power, high-density cooling, and coastal land banks are securing strategic advantages.

Indian Economy

Macro Growth

Metric	Global	India	Implication
Market Size (2025)	USD 236.4B (AI DCs)	USD 1.19B (AI Data Centers)	Smaller absolute size, but higher growth %
2030 Forecast	USD 933.8B	USD 3.1-3.55B	3.9x expansion globally; 2.6-3x in India
CAGR	31.60%	21.1-35.1%	7-10x India's nominal GDP growth
Data Security Market	USD 24B by 2030 (24.2% CAGR)	Asia-Pacific at 26.5% CAGR	Moat: security = compliance + competitive necessity

Source: <https://www.marketsandmarkets.com/Market-Reports/ai-data-center-market-267395404.html>

Demand Drivers and Structural Strengths

- The country benefits from a large, skilled, and cost-competitive talent pool, producing roughly 2.6 million STEM graduates annually, more than three times the number of graduates produced by many other leading nations, which underpins India's role as a global technology and outsourcing hub.
- Indian IT firms have delivery centres across key global markets and long-standing relationships with Fortune 500 clients, which support recurring, multi-year contracts and resilience through cycles.
- Demand is being supported by: (i) strong export growth from new verticals, (ii) the rise of Global Capability Centres (GCCs) expected to drive 22-25% of net new white-collar tech jobs in 2025, and (iii) rapid growth in the Indian software product industry, projected to reach US\$ 100 billion by 2025.

Market Dynamics

DRIVERS	RESTRAINTS	OPPORTUNITIES	CHALLENGES
 DRIVERS • Rising demand for AI workloads • Data explosion and big data analytics Impact Level 	 RESTRAINTS • High implementation costs • Data privacy and cyber security concerns Impact Level 	 OPPORTUNITIES • Increasing demand for hyperscale data center • Rising adoption of green AI data centers Impact Level 	 CHALLENGES • Supply chain disruptions • Energy consumption and environmental concerns Impact Level 

Source: Marketsandmarkets

SUMMARY: AI and GenAI are becoming a major global growth engine, with estimates that they could add about USD 13 trillion to world GDP by 2030 and significantly lift productivity. This is driving a powerful capex cycle in AI-optimised data centres and data security: the global AI data-centre market is expected to almost 4x between 2025 and 2030, and India's market is projected to grow even faster on the back of strong digital demand, talent depth and supportive policies. Demand is underpinned by rising AI workloads and big-data use, while key risks relate to high costs, energy use, and data-privacy and cybersecurity challenges.

DYNACONS SYSTEMS & SOLUTIONS LTD

Dynacons.com | BSE: 532365 | NSE: DSSL | Sector: IT-Services

Market Cap.	1169
High / Low	1,618 / 821
Eq. Shares (cr)	1.27
Face Value	10.0

Financials & Valuations

Y/E March	FY25	FY24	FY23
Sales	1,266.8	1,024.4	804.2
Gross Profit	117.62	89.89	66.22
EBITDA	105.22	78.22	54.59
EBT	90.3	67.8	42.3
Net Profit	65.7	49.6	31.1
EPS	0.00	0.00	0.00
EPS Gr. (%)	32.39%	59.22%	88.30%

Ratios

ROCE (%)	39.2
Current ratio	1.37
Inven TO	16.8
Debt/equity	0.64
P/E	14.8
Industry P/E	31.4
P/Bv	4.26

Shareholding Pattern (%)

As on	Sept-25	Jun-25	Sep-24
Promoter	60.95	60.95	60.95
DII	0.11	0.24	0.27
FII	0.28	0.17	0.16
Others	38.65	38.63	38.63

CMP: INR 919

TP: INR 1,300 (41.4%)

Strong

About

Incorporated in 1995, Dynacons Ltd provides IT infrastructure-related activities

KEY OFFERINGS:

- **Data Centre & Cloud Solutions:** Modernizes enterprise IT using HCI, SDS, virtualisation, and hybrid/multi-cloud setups, along with backup, DR, and optimisation tools. Serves major BFSI and government clients (e.g., Canara Bank, BoM). Key contributor to System Integration revenue.
- **Network & Security Infrastructure:** Offers SD-WAN, next-gen firewalls, identity management, endpoint security, and SIEM to ensure secure, scalable connectivity. Strong presence in regulated sectors; large deployments like SBI's 7,000-branch SD-WAN drive project revenue.
- **Workplace Solutions:** Enables digital work environments through VDI, Microsoft 365, device lifecycle management, managed print, and DEX tools. Focuses on BFSI and global enterprises with recurring support and maintenance income.
- **Managed Services:** Provides NOC/SOC operations, IMS, break-fix support, staff augmentation, and sector-specific solutions like CBaaS for cooperative banks. Multi-year contracts deliver recurring, margin-accretive revenue.

REVENUE BIFURCATION:

System Integration- 99% in FY25

Technology Workforce Augmentation Services- 1% in FY25

SERVICES OFFERED:

The company offers solutions in Data Center & Cloud, Managed Services, Digital Workplace, Systems Integration, Network & Security, Project Management, and Smart & Safe City domains.

GEOGRAPHICAL SPLIT:

India - 99% in FY25 vs 97% in FY23

Export - 1% in FY25 vs 3% in FY23

TECH PARTNERS:

The company collaborates with leading global technology partners across three key domains- Data Centre & Cloud Infrastructure, Network & Security, and Workspace. Partnerships with organizations such as Microsoft, Cisco, Dell Technologies, VMware, HPE, Lenovo, Oracle and others.

CLIENTELE:

The company serves clients across key sectors, including BFSI, PSUs, and global enterprises. Notable clients include the Reserve Bank of India, ICICI Bank, BMC, Facebook India, and Coforge Limited. Key suppliers include Redington Ltd and Ingram Micro India Pvt. Ltd.

ORDER BOOK:

The company's order book includes key contracts such as Rs. 280 Crs from Canara Bank for data centre infrastructure, Rs. 233 Crs from NABARD for core banking upgrade, Rs. 138.44 Cr from LIC for digital workplace solutions, Rs. 119 Cr from Central Bank of India for private cloud infrastructure, Rs. 108 Cr from NABARD for CBaaS, Rs. 62.98 Cr from State Bank of India for SD-WAN, Rs. 51.28 Cr in additional NABARD orders, and Rs. 18.84 Cr from Bank of Baroda for CTS scanners.

Pros

- Company has delivered good profit growth of 63.9% CAGR over last 5 years
- Company has a good return on equity (ROE) track record: 3 Years ROE 38.8%
- Company's median sales growth is 27.4% of last 10 years
- Company's working capital requirements have reduced from 26.0 days to 19.3 days

Financials and Valuations

INCOME STATEMENT

(IN CR)

Y/E March	FY25	FY24	FY23	FY22	FY21	FY20	FY19	FY18	FY17	FY16
Sales	1,266.8	1,024.4	804.15	653.98	435.94	327.95	303.72	210.70	158.29	124.18
Sales Growth (%)	23.66%	27.39%	22.96%	50.02%	32.93%	7.98%	44.15%	33.11%	27.47%	-
COGS	1,149.2	934.5	737.93	616.10	412.32	306.23	285.81	198.95	150.15	117.66
Gross Profit	117.62	89.89	66.22	37.88	23.62	21.72	17.91	11.75	8.14	6.52
Gross margins (%)	9.28%	8.77%	8.23%	5.79%	5.42%	6.62%	5.90%	5.58%	5.14%	5.25%
Selling & General Expenses	12.40	11.67	11.63	7.23	4.95	7.11	6.03	5.08	3.40	2.35
EBITDA	105.22	78.22	54.59	30.65	18.67	14.61	11.88	6.67	4.74	4.17
EBITDA Margins (%)	8.31%	7.64%	6.79%	4.69%	4.28%	4.45%	3.91%	3.17%	2.99%	3.36%
Interest	13.27	8.87	10.91	9.02	7.17	7.76	6.03	3.90	2.91	2.75
Depreciation	1.65	1.52	1.36	1.36	1.26	1.03	0.72	0.76	0.61	0.62
EBT	90.3	67.8	42.32	20.27	10.24	5.82	5.13	2.01	1.22	0.80
EBT % Sales	7.13%	6.62%	5.26%	3.10%	2.35%	1.77%	1.69%	0.95%	0.77%	0.64%
Tax	24.6	18.3	11.23	5.60	2.88	1.94	2.13	0.94	0.41	0.40
Effective Tax Rate (%)	27.24%	26.91%	26.54%	27.63%	28.13%	33.33%	41.52%	46.77%	33.61%	50.00%
Net Profit	65.7	49.6	31.09	14.67	7.36	3.88	3.00	1.07	0.81	0.40
Net Margins (%)	5.19%	4.84%	3.87%	2.24%	1.69%	1.18%	0.99%	0.51%	0.51%	0.32%

BALANCE SHEET

(IN CR)

Y/E March	FY25	FY24	FY23	FY22	FY21	FY20	FY19	FY18	FY17	FY16
Equity Share Capital	12.73	12.71	12.69	11.28	10.13	9.17	9.17	6.91	6.38	5.92
Reserves	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	10.95
Borrowings	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	20.87
Other Liabilities	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	11.95
Total Liabilities	774.07	587.02	402.21	298.92	180.56	122.14	98.02	69.43	52.99	49.69
Fixed Assets Net Block	9.21	5.50	6.73	6.09	6.39	3.74	2.50	2.85	3.03	3.46
Capital Work in Progress	21.95	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Investments	0.90	0.81	0.55	0.56	0.44	0.06	0.06	0.06	0.06	0.01
Other Assets	142.88	17.91	11.90	10.36	6.65	9.01	3.36	4.32	2.98	3.00
Total Non Current Assets	174.94	24.22	19.18	17.01	13.48	12.81	5.92	7.23	6.07	6.47
Receivables	436.63	401.52	300.61	175.68	101.90	84.00	57.68	39.54	28.49	30.35
Inventory	58.24	73.39	36.63	70.91	42.47	8.72	16.79	13.81	9.19	6.62
Cash & Bank	104.26	87.89	45.79	35.32	22.71	16.61	17.63	8.85	9.24	6.25
Total Current Assets	599.13	562.80	383.03	281.91	167.08	109.33	92.10	62.20	46.92	43.22
Total Assets	774.07	587.02	402.21	298.92	180.56	122.14	98.02	69.43	52.99	49.69

CASH FLOW STATEMENT

(IN CR)

Y/E March	FY25	FY24	FY23	FY22	FY21	FY20	FY19	FY18	FY17	FY16
Cash from Operating Activity	64.11	29.04	14.62	-14.68	9.12	4.02	2.44	-13.19	4.49	-4.22
Cash from Investing Activity	-26.09	-0.33	-0.3	-1.17	-2.27	0.48	-0.37	-0.58	-0.35	-1.06
Cash from Financing Activity	-6.27	-42.27	-5.37	13.63	-0.45	-8.21	-2.12	12.65	-1.13	5.43
Net Cash Flow	31.75	-13.56	8.94	-2.22	6.4	-3.71	-0.04	-1.12	3.02	0.15

Exhibit 1: Compounded Sales Growth

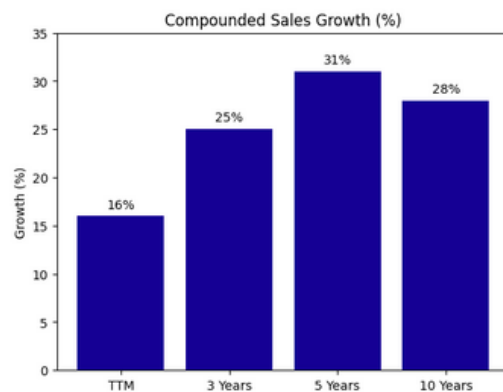


Exhibit 2: Compounded Profit Growth

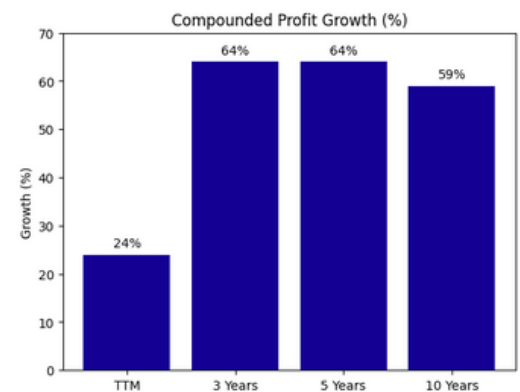


Exhibit 3: Return on Equity

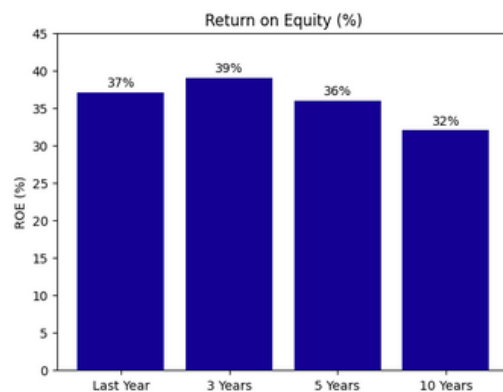
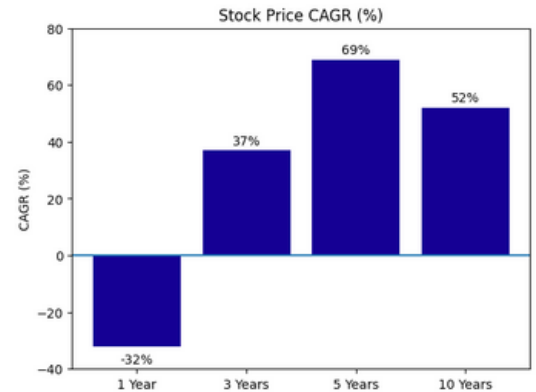


Exhibit 4: Stock Price CAGR



Potential Growth Metric

Market capitalisation > 500 cr

Sales > 500 cr

PEG Ratio < 2

Sales growth > 15%

Sales growth 3Years > 15%

Sales growth 5Years > 15%

Return on capital employed > 15%

Debt to equity < 1.5

Price to Earnings < Industry PE

Volume 1month average > 100000

Commentary

Dynacons was chosen because it scores well on both growth and quality dimensions within a rules-based framework, rather than on a subjective story alone. The “potential growth firm” screen demands a minimum business scale (market capitalization and sales above 500) combined with strong, broad-based revenue momentum: current year sales growth above 15% and the same threshold sustained over 3- and 5-year periods. This eliminates one-off beneficiaries of short-term cycles and highlights companies that have repeatedly grown their top line through different market conditions. A PEG ratio between 0 and 2 then links this growth to valuation, signalling that investors are not overpaying for that growth and that there is still scope for re-rating as earnings compound.

Profitability and execution strength are captured through the return on capital employed and earnings trend filters. Requiring ROCE above 15% and an expected quarterly net profit that exceeds the profit three quarters back forces the shortlist toward businesses that not only grow, but do so efficiently and with improving earnings power. Such firms typically possess some combination of operating leverage, pricing power, or cost discipline, making their growth more durable than volume-driven stories with thin margins.

Coffee-Can Potential Metric

Average return on capital employed

10Years > 15%

Average return on capital employed

7Years > 15%

Average return on capital employed

5Years > 15%

Average return on capital employed

3Years > 15%

Return on capital employed

preceding year > 15%

Return on capital employed > 15%

Sales growth 10Years > 10%

Sales growth 7Years > 10%

Sales growth 5Years > 10%

Sales growth 3Years > 10%

Sales growth > 10%

Commentary

The balance-sheet and valuation guardrails—debt-to-equity below 1.5, price-to-earnings below the industry average, and sufficient trading liquidity—further narrow the universe to companies where financial risk is contained and where there is a margin of safety if the growth narrative disappoints.

The second layer of your process, the “coffee can portfolio” filter set, explains why Dynacon's is not just a fast-growing name but also a candidate for long-term compounding. Here, the emphasis shifts from recent performance to persistence: average ROCE above 15% over 3, 5, 7, and 10 years, coupled with double-digit sales growth across the same horizons. For a company to pass this test, it must have repeatedly reinvested capital at attractive rates over a full cycle, which usually implies a defensible competitive position, a focused management team, and a business model that converts incremental investment into higher earnings rather than into bloated assets. The requirement that even the most recent year's ROCE remains above 15% ensures that this track record has not deteriorated lately.

Finally, the higher market-capitalisation threshold and long-term sales-growth conditions in the coffee-can screen help avoid very small or speculative businesses that may look good on short data windows but lack proven resilience. Taken together, these layers mean that Dynacon's is being selected because it combines adequate scale, sustained high growth, disciplined capital allocation, conservative leverage, and reasonable valuation. In the context of your research report, this provides a clear, systematic rationale: Dynacon's is not a momentum bet, but a growth-at-reasonable-price company with a decade-long history of compounding that fits both an active “potential growth” basket and a patient coffee-can portfolio philosophy.

Technical Analysis

Dynacons Systems' weekly chart shows the stock attempting a fresh upswing after a prolonged consolidation phase near the lower Bollinger band, with the latest candle reclaiming the mid-band and closing close to the week's high, which signals returning buying interest. The projected path toward the 1,300-1,430 zone aligns with visible resistance from the prior distribution area, while MACD has turned up from deeply negative levels and RSI has moved back above the neutral 50 line, together indicating that downside momentum is fading and the risk-reward is gradually tilting in favour of medium-term accumulation rather than aggressive selling.

CEINSYS TECH LTD

ceinsys.com | BSE: 538734 | Sector: IT-Software

CMP: INR 1,119 TP: INR 1,650 (47.4%) Strong**About**

Incorporated in 1998, Ceinsys Tech Ltd provides Enterprise Geospatial & Engineering Services and sale of software and electricity

KEY OFFERINGS:

- **Business Overview:** CTL, part of the Meghe Group, is an ISO 9001, ISO 14001-2015, ISO 20222, and CMMI DEV Level 5 certified organization. It specializes in designing, capturing, storing, mapping, analyzing, and managing all types of geographical data. Additionally, CTL operates in niche domains like energy systems and solutions (SCADA-DMS implementation, IT rollout, automated metering infrastructure), water management services, product design, and robotics automation.
- **Core Service Areas:**
 - a. Product Engineering
 - b. Manufacturing Engineering
 - c. GIS Solutions
 - d. Future Tech

SERVICES & SOLUTIONS OFFERED:**a) Geospatial:**

Geospatial Services, Risk Analytics, Engineering Support, Digital Enterprise, Consulting Services, Software Solutions, Smart City Solutions, Location Intelligence, Disaster Management, Vegetation Management, Cultural/Heritage Preservation, Spatial Data Infrastructure

b) Mobility:

Style and Sketch, Concepts, Feasibility, Design & Validations, CAD & ECM, Pre Series Development, Plant Engineering, Manufacturing Engineering, Mobility Virtual Validation, Mobility Electrification

NEW VERTICAL:

Company is also into software product development, Artificial Intelligence, Machine Learning (ML), and Embedded Electronics space through a new vertical formation that focuses on product development activities related to Metaverse, EdTech, Gaming and Mobility

USER INDUSTRIES:

Water, Energy, AEC & BIM, Transport, Telecom, Oil & Gas, Land and Natural Resources, Passenger Cars, Commercial Vehicles, Off-Highway Vehicles, 2 Wheelers

CLIENTELE:

SWSM, Wapcos, NHAI, Maha Vitran, Public Health Engg. Deptt., MIDC, MSRDC, Power Corp. Ltd, ISRO, Larsen & Toubro, etc.

CLIENT CONCENTRATION:

Company's top 10 customers contribute towards ~55% of the total revenue

INTERNATIONAL PRESENCE:

Company has global presence in the United States, United Kingdom, and Germany

Market Cap.	1,997
High / Low	2,105 / 797
Eq. Shares (cr)	1.78
Face Value	10.0

Financials & Valuations

Y/E March	FY25	FY24	FY23
Sales	418	253	220
Operating Profit	80	44	33
OPM %	19	17	15
PBT	90	50	29
Net Profit	63	35	31
EPS	36.26	21.42	20.02
Dividend Payout	10%	12%	10%

Ratios

ROCE (%)	26.6
Current ratio	2.30
Inven TO	61.9
Debt/equity	0.16
P/E	20.6
Industry P/E	26.1
P/Bv	4.27

Shareholding Pattern (%)

As on	Sept-25	Jun-25	Sep-24
Promoter	50.69	51.86	51.86
DII	1.03	1.00	0.00
FII	4.56	4.67	4.27
Others	43.71	42.48	43.88

Revenue Breakup

REVENUE BREAKUP - FY23:

Enterprise Geospatial & Engineering Services ~82%,
Software Products ~17%,
Power Generation ~1%

GEOGRAPHICAL REVENUE SPLIT - FY24:

a) Geospatial:
Exports ~2%, Domestic ~98%
b) Manufacturing:
Export ~92%, Domestic ~8%

SEGMENT REVENUE - FY24:

Water ~55%,
Energy ~6%,
AEC & BIM ~17%,
Geospatial ~20%,
Telecom ~1%,
Transport ~1%

Pros

- Company is expected to give good quarter
- Company has delivered good profit growth of 23.1% CAGR over last 5 years

Cons

- Promoter holding has decreased over the last quarter: -1.16%
- The company has high debtors of 221 days.

Financials and Valuations

Coffee-Can Potential Metric

Average return on capital employed

10Years > 15%

Average return on capital employed

7Years > 15%

Average return on capital employed

5Years > 15%

Average return on capital employed

3Years > 15%

Return on capital employed

preceding year > 15%

Return on capital employed > 15%

Sales growth 10Years > 10%

Sales growth 7Years > 10%

Sales growth 5Years > 10%

Sales growth 3Years > 10%

Sales growth > 10%

Exhibit 1: Compounded Sales Growth

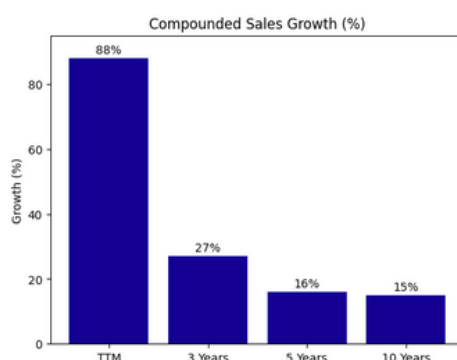


Exhibit 3: Return on Equity

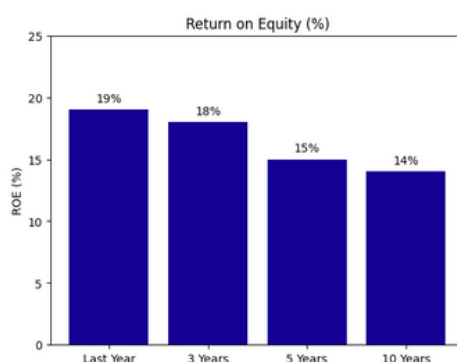


Exhibit 2: Compounded Profit Growth

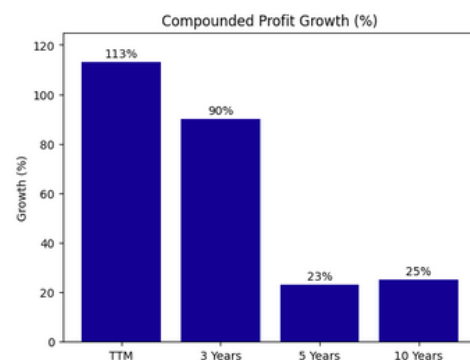
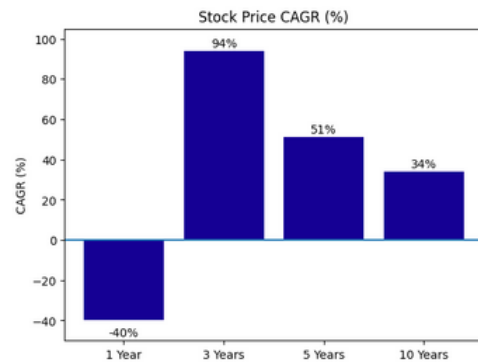


Exhibit 4: Stock Price CAGR



TECHNO ELECTRIC & ENGINEERING COMPANY LTD

techno.co.in | BSE: 542141 | NSE: TECHNOE | Sector: IT-Hardware

Market Cap.	12,625
High / Low	1,720 / 785
Eq. Shares (cr)	11.6
Face Value	2.0

Financials & Valuations

Y/E March	FY25	FY24	FY23
Sales	2,402	1,681	967
Operating Profit	328	227	119
OPM %	14	14	12
PBT	531	332	265
Net Profit	428	270	218
EPS	36.81	25.06	20.29
Dividend Payout	24%	28%	30%

Ratios

ROCE (%)	16.6
Current ratio	3.39
Inven TO	148
Debt/equity	0.01
P/E	27.0
Industry P/E	18.4
P/Bv	3.18

Shareholding Pattern (%)

As on	Sept-25	Jun-25	Sept-24
Promoter	56.93	56.93	56.93
DII	22.62	24.04	24.12
FII	9.22	8.98	9.80
Others	11.24	10.07	9.15

Compounded Sales Growth (TTM) : 61%
Compounded Profit Growth (TTM) : 57%
Return on Equity (Last Year) : 13%

CMP: INR 1,086

TP: INR 1,500 (38.1%)

Low

About

Techno Electric & Engineering Company Ltd (TEECL) is engaged in providing Engineering, Procurement and Construction (EPC), asset ownership and operations and maintenance services in the power infrastructure industry.

KEY OFFERINGS:

- **EPC Business:** The company delivers EPC solutions across transmission, smart metering, and FGD projects and smart metering, executing projects across 17 locations in India. In FY25, EPC contributed 99% of total revenue. EPC revenue has grown 125% in FY25 compared to FY23.
 - a. **Power Generation:** It delivers turnkey EPC solutions for captive power plants and offsite works, and also specialises in FGD and balance-of-plant solutions, which comprise 9.9% of the order book.
 - b. **Transmission & Distribution:** It offers end-to-end transmission and distribution solutions, including EHV substations (up to 765 kV), Distribution Management Systems, and smart metering solutions. It executes both traditional and TBCB-based transmission projects, which comprise 68.5% of the order book.
 - c. **Smart Meters:** It implements Advanced Metering Infrastructure-based smart metering projects across multiple states, executing end-to-end O&M under DBFOT and TOTEX models. Distribution projects, including smart metering, comprise 21% of the order book.
 - d. **Data Center:** It is developing hyperscale and edge data centres, with 40 MW under construction in Chennai (24 MW) and Kolkata (16 MW), and contracts for 102 edge centres for RailTel. Data centre projects comprise 0.6% of the order book. It works with leading consultants and partners, including AECOM, CBRE, EY, Hitachi, Schneider Electric, Siemens, Samsung, and others.

Pros

- Company is almost debt free.
- Company is expected to give good quarter
- Company has been maintaining a healthy dividend payout of 27.3%
- Debtor days have improved from 169 to 105 days.

Cons

- Company has a low return on equity of 12.5% over last 3 years.

Price holds below key supports near 200DMA, with strong order book visibility supporting rebound potential toward ₹1,500 targets:



CIGNITI TECHNOLOGIES LTD

cigniti.com | BSE: 534758 | NSE: CIGNITITEC | Sector: IT-Services

Market Cap.	4,539
High / Low	1,930 / 1,033
Eq. Shares (cr)	2.75
Face Value	10.0

Financials & Valuations

Y/E March	FY25	FY24	FY23
Sales	2,014	1,815	1,648
Operating Profit	289	222	238
OPM %	14	12	14
PBT	272	220	222
Net Profit	200	166	168
EPS	73.06	60.66	59.92
Dividend Payout	0%	5%	9%

Ratios

ROCE (%)	34.1
Current ratio	4.10
Inven TO	-
Debt/equity	0.02
P/E	15.9
Industry P/E	31.0
P/Bv	3.99

Shareholding Pattern (%)

As on	Sept-25	Jun-25	Sep-24
Promoter	55.04	55.16	22.68
DII	7.68	8.23	6.97
FII	11.88	11.33	4.64
Others	25.40	25.29	65.71

Coffee-Can Potential Metric

Average return on capital employed 10Years > 15%

Average return on capital employed 7Years > 15%

Average return on capital employed 5Years > 15%

Average return on capital employed 3Years > 15%

Return on capital employed preceding year > 15%

Return on capital employed > 15%

Sales growth 10Years > 10%

Sales growth 7Years > 10%

Sales growth 5Years > 10%

Sales growth 3Years > 10%

Sales growth > 10%

CMP: INR 1,648

TP: INR 1,900 (15.3%)

Mid

About

Cigniti Technologies Ltd is engaged in providing quality engineering & software testing services to clients across various industries. It was incorporated in 1998 in Hyderabad, Telangana.

SERVICES OFFERED:

The company provides software testing and analysis services in the areas of Quality Assurance, Next Generation Testing, Digital Assurance, Quality Engineering, Advisory & Transformation, IP & Innovation, etc. It uses multiple solutions for automated testing like AI-driven prediction tools.

REVENUE MIX BY VERTICAL (Q3 FY24):

BFSI - 21%
Retail & E-Commerce - 21%
Travel - 17%
HCLS- ~12%
ISV - ~11%
Energy & Utilities- 5%
Others - 13%

GEOGRAPHICAL SPLIT FY24:

The company has a presence in 24 countries. [3]

US - 78%
India- ~5%
Rest of the World - 17%

Pros

- Company is almost debt free.
- Company has a good return on equity (ROE) track record: 3 Years ROE 27.2%

Exhibit 1: Compounded Sales Growth

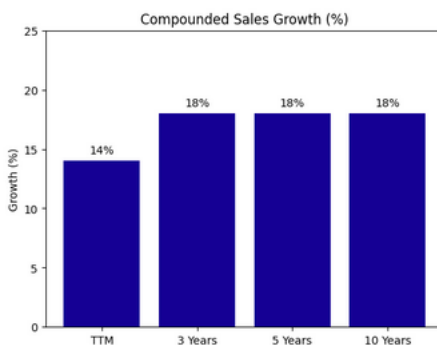


Exhibit 2: Compounded Profit Growth

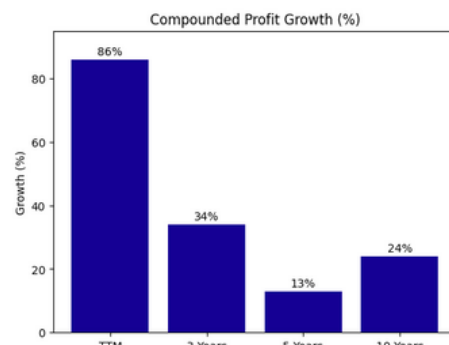


Exhibit 3: Return on Equity

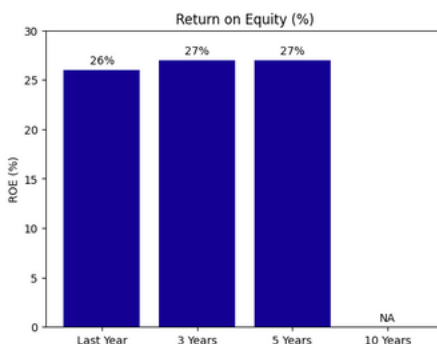
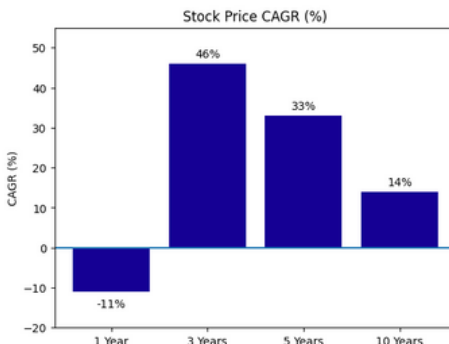


Exhibit 4: Stock Price CAGR



❖ Key Industry Rationale

HEALTHCARE, PHARMA, BIOTECH & INSURANCE

Global Economy

Sector Confidence: 75% of biopharma and medtech executives are confident in their own organisations, but only 41% are optimistic about the global economy. European and Asian leaders are more bullish (90% positive outlook), while US leaders are more cautious (56% positive).

Key Drivers: AI and digital transformation are central priorities—78% of executives expect AI to drive major operational change, with 29-31% deploying AI for workforce and R&D productivity. Cost discipline and pricing/reimbursement strategy are also critical, as R&D costs exceed USD 2 billion per drug.

Growth Outlook: Medtech shows consistent confidence with stable analyst expectations; biopharma faces more scrutiny on R&D productivity and regulatory implications. Overall, growth is expected but contingent on navigating pricing pressures, geopolitical risks, and achieving measurable AI ROI.

Bottom Line: The sector is healthy but facing headwinds. Companies with strong R&D pipelines, diversified geographic presence, cost discipline and advanced AI maturity will outperform in 2026.

Regulatory change, AI, and geopolitical trends top the list of strategic impacts for 2026

■ 2025 ● 2026

Regulatory and policy

* New national regulations	
Economic policy changes	
^ Government agency restructuring	

Digital and AI

Accelerated digital transformation	
Proliferation of generative AI	
Emergence of agentic AI	

Market momentum and portfolio

Pricing and access	
Competitive pressure	

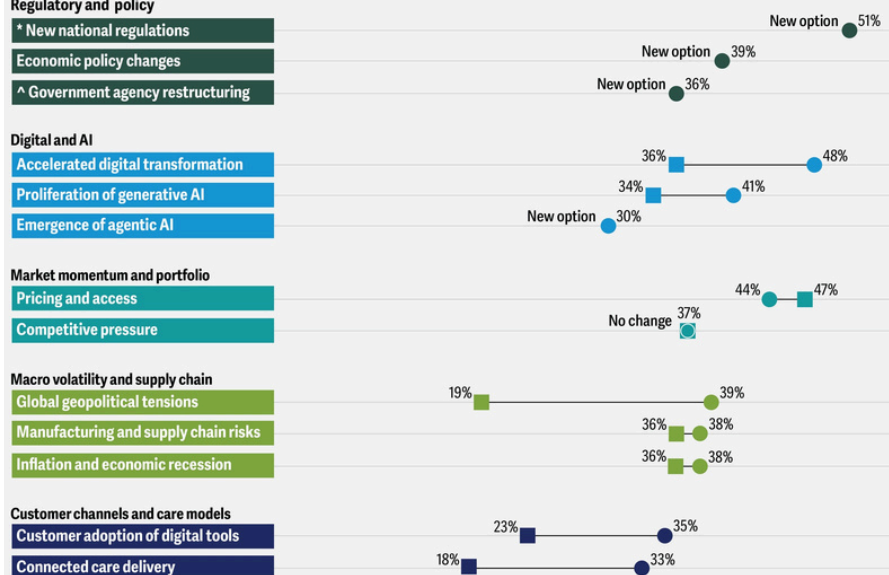
Macro volatility and supply chain

Global geopolitical tensions	
Manufacturing and supply chain risks	
Inflation and economic recession	

Customer channels and care models

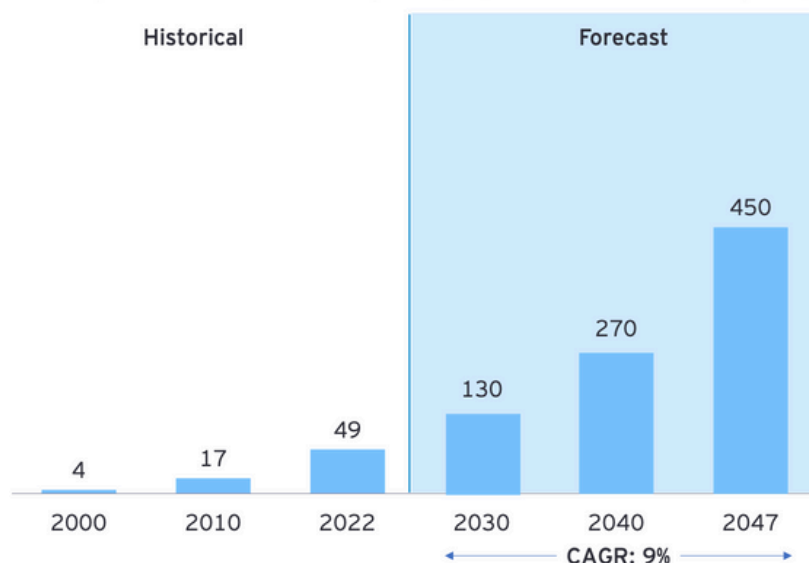
Customer adoption of digital tools	
Connected care delivery	

Source: Deloitte.



Indian Economy

Indian pharmaceutical industry - US\$b (domestic market + exports)



Source: EY analysis, EY FICCI report, India pharma industry 2022, Policy Circle

Ambitious Long-Term Vision: India is positioned to become a USD 26 trillion economy by 2047-48 with per capita income exceeding USD 15,000—putting it among developed nations. The pharma industry specifically aims to achieve USD 130 billion by 2030 and USD 450 billion by 2047, a 9% CAGR growth trajectory. Healthcare spending as a percentage of GDP is projected to nearly double from 1.3% (2015) to 2.5% (2025), reflecting strong government commitment to universal health coverage.

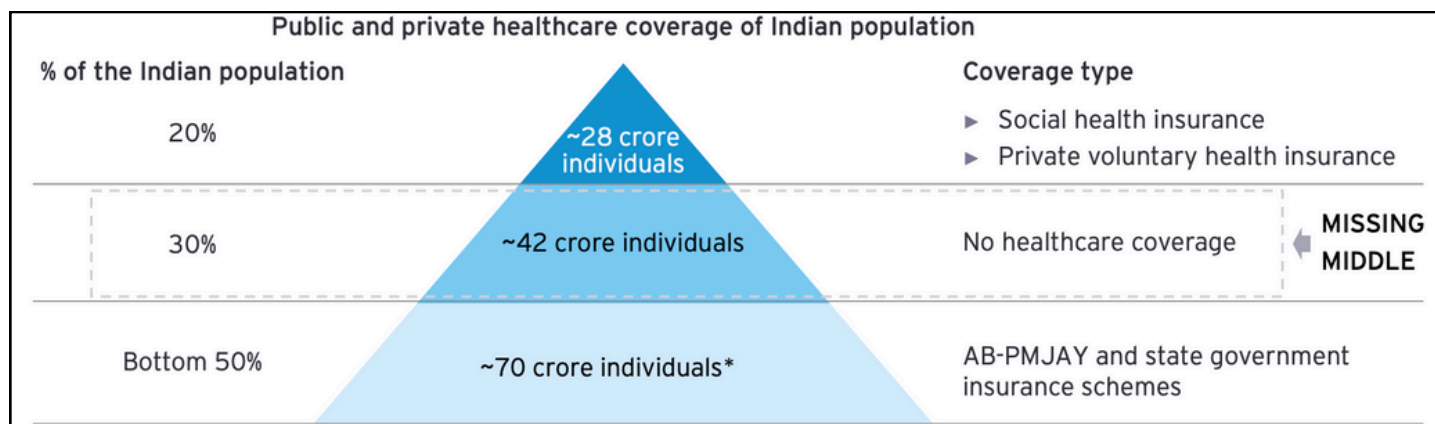
Government Support & Policy Enablers: India has launched transformational initiatives—Ayushman Bharat digital health mission (ABDM) with 486 million health IDs registered, production-linked incentives (PLI) of INR 25,000 crore+ for pharma and medical devices, and the National Policy on Research & Development. These programmes are driving expansion in domestic market access and manufacturing-scale innovation.

Growth Drivers - Domestic & Export: Domestic growth is fuelled by rising per-capita income, expanding healthcare

insurance coverage (PMJAY), and digital-enabled service delivery. Export growth is expected via complex generics, biosimilars, and next-generation therapeutics (CAR-T cells, ADCs, mRNA vaccines). India's first CAR-T therapy, approved Oct 2023 at 1/10th US cost signals both innovation capability and cost advantage.

Innovation Momentum: Over 1,580 Global Capability Centres (GCCs) employ ~1.66 million professionals generating USD 46 billion in revenue. GCCs are now driving strategic R&D and AI/digital adoption. Telangana alone aspires to build a USD 250 billion life sciences ecosystem by 2030, hosting the WEF's first Fourth Industrial Revolution center for healthcare and genomics.

Gap in Healthcare sector



Source: Niti Aayog report, Indian population (as of July 1, 2023)

Demand Drivers and Structural Strengths

- The country benefits from a large, skilled, and cost-competitive talent pool, producing roughly 2.6 million STEM graduates annually, more than three times the number of graduates produced by many other leading nations, which underpins India's role as a global technology and outsourcing hub.
- Indian IT firms have delivery centres across key global markets and long-standing relationships with Fortune 500 clients, which support recurring, multi-year contracts and resilience through cycles.
- Demand is being supported by: (i) strong export growth from new verticals, (ii) the rise of Global Capability Centres (GCCs) expected to drive 22-25% of net new white-collar tech jobs in 2025, and (iii) rapid growth in the Indian software product industry, projected to reach US\$ 100 billion by 2025.

Market Dynamics



Source: OPPI Report: Reimagining pharma and healthcare for India@100

SUMMARY: India Healthcare Coverage: Only 28% have private insurance; bottom 50% covered by Ayushman Bharat/state schemes (70 crore people)—major coverage gap exists. **Talent Advantage:** Large, skilled, cost-competitive pool (2.6M STEM graduates/year), GCCs, and global export relationships provide structural edge. **Market Dynamics:** Drivers: insurance/digital growth (15-20%). Restraints: high R&D costs. Opportunities: next-gen therapeutics. Challenges: talent/manufacturing/geopolitical risks.

ZYDUS LIFESCIENCES LTD

zyduscadila.com | BSE: 532321 | NSE: ZYDUSLIFE | Sector: Pharmaceuticals & Biotechnology

CMP: INR 914

TP: INR 1,175 (28.5%)

Mid

About

In 1995, the group was restructured and thus was formed Cadila Healthcare under the aegis of the Zydus group. From a humble turnover Rs. 250 crores in 1995 the group witnessed a significant financial growth and registered a turnover of over Rs. 14,253 crores in FY20. Adhering to its brand promise of being dedicated to life in all its dimensions, Zydus continues to innovate with an unswerving focus to address the unmet healthcare needs. Simultaneously it rededicates itself to its mission of creating healthier, happier communities across the globe

BUSINESS SEGMENTS:

- **US Formulations (51% in Q1 FY25 vs 38% in FY22):** The company distributes over 200 generic products in the U.S. market, holding leadership positions in more than 20% of its product families and ranking among the top three in approximately 60% of its products. As the 5th largest generic company in the U.S., it has launched 67 new products between FY23 and Q1 FY25, including Indomethacin suppository and Zituvimet. By FY24, the company had secured 402 product approvals and 460 ANDA filings. Segment revenue grew by 49% from FY22 to FY24, driven by volume expansion and new product launches.
- **India Business (37% in Q1 FY25 vs 45% in FY22):** The segment is split into:
 - a. Formulations (23% in Q1 FY25 vs 32% in FY22)
 - b. Consumer Wellness (14% in Q1 FY25 vs 13% in FY22)
- **International Markets Formulations (9% in Q1 FY25 vs 10% in FY22):** The company's international markets division comprises of the Emerging Markets (selected territories in Asia Pacific, Middle East, Africa and Latin America) and Europe (France, Spain and the UK). It operates in the branded generics segment with Cardiology, Diabetology, Neuro-Psychiatry, and Pain Management in the emerging markets. It has a market share of 7.4% in Sri Lanka with 30 brands ranked first in their respective molecule categories. It is also the 2nd largest company in South Africa and the 9th largest in the Phillippines in the participated market. The segment revenue grew by 34% between FY22 and FY24, driven by strong demand across all key geographies.

Pros

- Company has been maintaining a healthy dividend payout of 21.1%
- Debtor days have improved from 84.7 to 63.2 days.

Zydus Lifesciences displays a sharp rally from early 2025 lows, peaking sharply in mid-year before entering a prolonged correction, with price now testing support near the 50 DMA (orange line).

Market Cap.	91,960
High / Low	1,059 / 795
Eq. Shares (cr)	101
Face Value	1.0

Financials & Valuations

Y/E March	FY25	FY24	FY23
Sales	23,242	19,547	17,237
Operating Profit	7,058	5,384	3,860
OPM %	30	28	22
PBT	6,027	4,832	2,585
Net Profit	4,673	3,973	2,092
EPS	44.97	38.36	19.37
Dividend Payout	24%	8%	31%

Ratios

ROCE (%)	24.3
Current ratio	1.94
Inven TO	1.82
Debt/equity	0.38
P/E	18.3
Industry P/E	31.0
P/Bv	3.66

Shareholding Pattern (%)

As on	Sept-25	Jun-25	Sept-24
Promoter	75.00	75.00	74.98
DII	10.86	11.09	10.59
FII	7.34	7.13	7.52
Others	6.81	6.78	6.90

Compounded Sales Growth (TTM) : 14%
 Compounded Profit Growth (TTM) : 18%
 Return on Equity (Last Year) : 21%



ICICI LOMBARD GENERAL INSURANCE COMPANY LTD

icicilombard.com | BSE: 540716 | NSE: ICICIGI | Sector: Insurance

Market Cap.	97,119
High / Low	2,075 / 1,613
Eq. Shares (cr)	49.8
Face Value	10.0

Financials & Valuations

Y/E March	FY25	FY24	FY23
Sales	23,961	20,572	17,876
Operating Profit	3,407	2,654	1,264
OPM %	14	13	7
PBT	3,321	2,555	2,113
Net Profit	2,508	1,919	1,729
EPS	50.60	38.94	35.21
Dividend Payout	25%	28%	28%

Ratios

ROCE (%)	24.9
Current ratio	0.05
Inven TO	-
Debt/equity	0.00
P/E	34.7
Industry P/E	42.6
P/Bv	6.10

Shareholding Pattern (%)

As on	Sept-25	Jun-25	Sept-24
Promoter	51.37	51.46	51.66
DII	17.41	17.52	16.59
FII	24.04	23.94	24.75
Others	7.18	7.07	7.01

CMP: INR 1,950

TP: INR 2,200 (12.8%)

Mid

About

ICICI Lombard General Insurance Co. Ltd is one of the leading and established private sector general insurance companies in India. It offers a well-diversified range of products and risk management solutions through multiple distribution channels.

It was established in 2001 as a JV between ICICI Bank and Fairfax Financial Holdings Ltd. ICICI held 64% stake and the rest was held by JV partner. Fairfax Financial exited in 2019 by selling its remaining 5% stake in the company for ~2,600 crores.

MARKET LEADERSHIP:

The company is India's largest non-life insurer based on Gross Direct Premium Income (GDPI) with a market share of 9.4% as of H1 FY25. Its market share across different commercial segments is approximately 13% in fire, 17% in engineering, 21% in marine cargo, and 19% in liability insurance.

PRODUCT MIX:

Health, Travel & PA: 31% in H1 FY26 vs 22% in FY22

Motor OD: 18% in H1 FY26 vs 23% in FY22

Motor TP: 17% in H1 FY26 vs 23% in FY22

Fire: 15% in H1 FY26 vs 16% in FY22

Crop: 5% in H1 FY26 vs 4% in FY22

Marine: 3% in H1 FY26 vs 3% in FY22

Others: 11% in H1 FY26 vs 9% in FY22

Pros

- Company has reduced debt.
- Company is almost debt free.
- Company has been maintaining a healthy dividend payout of 27.1%
- Company's median sales growth is 15.1% of last 10 years

ICICI Lombard's October 2025 concall transcript emphasized a strategy of profitable growth over aggressive volume targets, reporting H1 FY26 GDPI of ₹143.31 billion, down 0.5% YoY and trailing the industry's 7.3% rise, though core segments excluding Crop and Mass Health achieved 3.5% growth versus the sector's 10.5%. Q2 GDPI came in at ₹65.96 billion, off 1.9% YoY against the industry's 5.9% gain, but management noted building momentum from September, supported by policy reforms and improving demand dynamics.

Performance highlights included standout Retail Health growth of +25.2% (market share climbing to 4% in September from 3.2%), Fire acceleration to +27.3% in Q2 (September +36.4%), and Motor at +2.2% overall but +6.5% in September post-festive and GST cuts, maintaining 10.4% leadership despite mix shifts toward passenger cars.

Management positioned "GST 2.0" reforms as a structural boon—exempting individual health premiums to enhance affordability and lowering auto rates to boost mobility—committing to pass full benefits to policyholders. Operational metrics reinforced strengths: agency count at 147,408, app premiums doubled YoY, solvency at 2.73x, interim dividend hiked to ₹6.50/share, and superior service like 99.6% retail health claims settled in 30 days with NPS of 72.

Forward guidance anticipates H2 inflection from these tailwinds, reinsurance consistency, and cost discipline around ITC changes, reaffirming ROE targets of 18-20% while leveraging differentiated claims execution as a competitive moat.



MARKSANS PHARMA LTD

marksanspharma.com | BSE: 524404 | NSE: MARKSANS | Sector: Pharmaceuticals & Biotechnology

Market Cap.	8,110
High / Low	308 / 162
Eq. Shares (cr)	45.3
Face Value	1.0

Financials & Valuations

Y/E March	FY25	FY24	FY23
Sales	2,623	2,177	1,852
Operating Profit	529	459	340
OPM %	20	21	18
PBT	504	424	338
Net Profit	383	315	265
EPS	8.40	6.92	5.88
Dividend Payout	10%	9%	9%

Ratios

ROCE (%)	20.0
Current ratio	5.18
Inven TO	1.62
Debt/equity	0.12
P/E	23.1
Industry P/E	30.5
P/Bv	3.03

CMP: INR 179 TP: INR 265 (48.04%) Strong

About

Marksans Pharma is engaged in the Business of Formulation of pharmaceutical products

PRODUCT PORTFOLIO:
OTC Products: (74% of FY24 revenue)
Include Pain Management, Cough and Cold, Digestive Remedies, Vitamins and Tonics, Skin Treatments, and Allergies.
Prescription (Rx) Products: (26%)
Includes cardiovascular, central nervous system (CNS), anti-allergic, anticancer, and anti-diabetic drugs.
Product Profile: Co. has 300+ approved products across global markets and 1,500+ SKUs catering to various therapeutic categories.

REVENUE MIX:
Pain Management - 39.45%
Upper Respiratory - 13.47%
Cardiovascular System (CVS) - 10.17%
Gastrointestinal - 8.07%
Central Nervous System (CNS) - 7.71%
Anti-Allergic - 5.88%
Vitamin & Minerals Supplement (VMS) - 3.58%
Anti-Infective - 1.91%
Anti-Diabetic - 1.86%
Anti-Hair Fall - 0.54%
Anticancer - 0.25%

GLOBAL HEALTH LTD

medanta.org | BSE: 543654 | NSE: MEDANTA | Sector: Healthcare Services

CMP: INR1,175 TP: INR 1,375 (17.2%) Mid

About

Global Health Limited is one of the largest private multi-specialty tertiary care providers operating in the North and East regions of India. The company has key specialties in cardiology and cardiac science, neurosciences, oncology, digestive and hepatobiliary sciences, orthopedics, liver transplant, and kidney and urology.

REVENUE BIFURCATION - SERVICES Q2FY26:
1. Heart: 21%
2. Digestive: 12%
3. Cancer: 14.5%
4. Neuro: 11%
5. Kidney & Urology: 7%
6. Internal Medicine: 6%
7. Ortho: 5%
8. Liver Transplant: 3%
9. Others: 20.5%

CONCALL:
Medanta's Nov 2025 Q2 FY26 concall spotlighted Noida launch and Mumbai expansion to 750 beds (₹15.3 bn capex), with Q2 income +15% YoY to ₹11.19 bn, EBITDA ex-Noida +14% (25.2% margin), PAT +21% to ₹1.58 bn. Matured hospitals flat EBITDA on investments, developing ex-Noida +28% revenue (31.5% margin); Noida early loss but high-tech ramp underway. CGHS hikes aid but collections lag; net cash ₹7.1 bn supports pipeline.

Market Cap.	31,583
High / Low	1,456 / 995
Eq. Shares (cr)	26.9
Face Value	2.0

Financials & Valuations

Y/E March	FY25	FY24	FY23
Sales	3,692	3,275	2,710
Operating Profit	886	809	637
OPM %	24	25	24
PBT	647	627	449
Net Profit	481	478	326
EPS	17.92	17.81	12.16
Dividend Payout	0%	0%	0%

Ratios

ROCE (%)	19.7
Current ratio	2.40
Inven TO	14.1
Debt/equity	0.25
P/E	52.8
Industry P/E	53.2
P/Bv	8.66

❖ Key Industry Rationale

E-COMMERCE & CONSUMER INTERNET

Global Economy

Global Macro Context: The global economy faces significant headwinds—strong recessionary pressures, multi-decade high inflation, record public debt, and squeezed real incomes. Against this backdrop, global e-commerce continues to expand, driven by digital transformation across 37 major markets spanning Americas, Asia-Pacific, and Europe.

Global E-commerce Market Snapshot: The world's largest markets are China (USD 1.9 trillion, 30% of retail), USA (USD 1.1 trillion, 14% of retail), and Japan (USD 195 billion, 10% of retail). Emerging high-growth markets include India (USD 65.3 billion, 14.5% CAGR through 2024), Indonesia (5.4% of retail penetration, 13.5% CAGR), and Mexico (USD 38.9 billion, 12.4% CAGR). Despite regional variation, all markets show sustained double-digit growth driven by mobile adoption, digital payment infrastructure, and cross-border commerce.

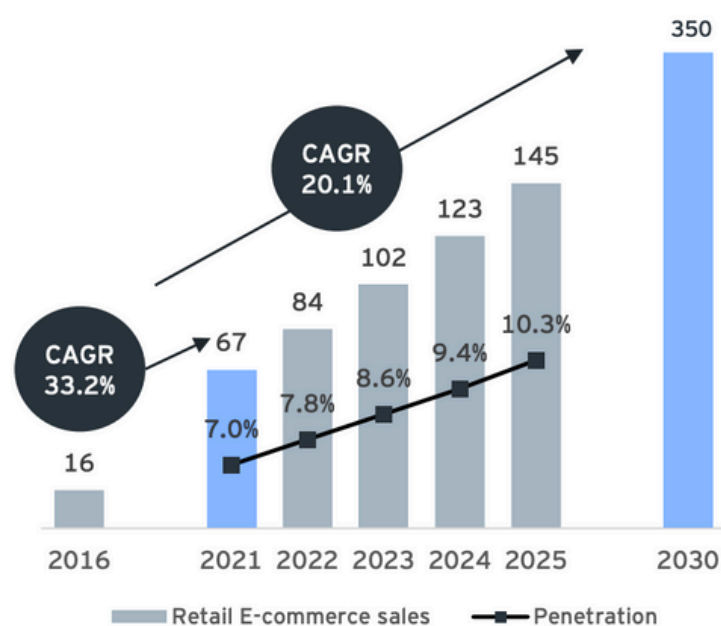
Mobile Commerce Dominance: Asia-Pacific markets lead mobile-first adoption: India (80% of transactions on mobile), Indonesia (64%), and China (64% mobile, 65% via apps). Developed markets are transitioning—USA (45% mobile, growing 18.2% CAGR), Spain (50% mobile, 17.6% CAGR), and Finland (48% mobile). Mobile app-based shopping outpaces browsers, driven by seamless payment integration and super-apps (WeChat, Alipay) in Asia.

Payment Evolution: Digital wallets dominate Asia—China (59%), India (33%, rising to 46% by 2024)—while cards remain primary in developed markets (USA 58%, Spain 48%, Japan 68%). Buy-now-pay-later (BNPL) is rapidly gaining traction across markets: Klarna users doubled to 17M in USA (2021); Afterpay strong in Australia with 30% adult penetration; BNPL expected to comprise 14% of e-commerce transaction value globally by 2024.

Cross-Border Commerce Landscape: Cross-border transactions vary by region: China (13.5% of e-commerce), USA (7%), India (25%), and Finland (36%). China is the top shopping destination for most emerging markets (Indonesia, Mexico, Australia), while USA dominates for Canada (51%) and Mexico (51%). Import tax regimes are tightening (India raised duties on gifts from 0% to 41.2%; Indonesia cut de minimis from USD 75 to USD 3) to protect domestic merchants.

Indian Economy

India e-commerce market size and penetration



Source: EY: E-commerce and consumer internet sector, February 2023

Market Fundamentals: India's e-commerce sector grew 25% in 2022 with 20% expected CAGR through 2030. With 312 million online shoppers and just 7.8% retail e-commerce penetration (vs. 46% China, 16% USA), India offers massive expansion headroom. Digital infrastructure is world-class: ranked 1st globally in digital payments (USD 1.5 trillion UPI transactions in 2022), 2nd in internet users, and lowest data costs (USD 0.17/GB).

Market Maturation: After 33% CAGR (2016-2021), the sector is stabilizing at 20% CAGR as companies shift from aggressive customer acquisition to profitability and operational efficiency. Rising fulfillment costs, consumption moderation in non-essential categories, and market saturation in high-income segments are driving this transition. Growth will shift to Tier II/III cities representing 61% of 2022 volume.

Sub-Sector Highlights: FinTech leads with 23 unicorns and USD 3.4B funding (2022), targeting USD 200B revenue by 2030. EdTech (7 unicorns) expected to reach USD 3.6B by 2027. B2B e-commerce projected USD 100B GMV by 2030 (up from USD 5B in 2021). Social commerce GMV surging 62.4% CAGR to USD 143.6B by 2028. HealthTech poised for 39% CAGR growth to USD 50B by 2033, leveraging 486M ABDM health IDs.

Business Model Shift: Companies are building sustainable growth via omnichannel strategies, cost-effective customer acquisition, recurring revenue (subscriptions, seller services), and governance strengthening. Peripheral industries—reverse logistics (USD 39.81B by 2027), warehousing (USD 3.8B opportunity), and FinTech integration—are expanding rapidly.

Outlook: With USD 16B undeployed VC capital, government support (ONDC, GeM), and 1.4 billion consumers, India is poised to become the world's second-largest e-commerce market by 2034, driven by Tier II expansion and subsector innovation.

Macro Growth

Metric	Global	India	Implication
Market Size (2025)	USD 1.8T	USD 65.3B	India 3.6% of global; huge growth potential
2030 Forecast	USD 2.4-2.8T	USD 145-180B	2.3x globally; 2.2-2.8x in India
CAGR	7-9%	17-22%	India 2-3x faster growth rate
Mobile Commerce	45%	80%	India leap-frogging desktop adoption
Digital Wallets	30%	46% by 2024	India rapidly scaling; UPI advantage
Cross-border	12-18%	25%	India punching above weight
Social Commerce	4-6%	8-12%	High-growth channel in India
Omnichannel	4-6%	25-30%	India lagging; leapfrog opportunity

Market Dynamics

DRIVERS	RESTRAINTS	OPPORTUNITIES	CHALLENGES
 DRIVERS - Rising omnichannel demand, big data analytics enabling personalization, and government support (ONDC, GeM, open banking) driving seamless digital commerce expansion - Hyperscale data center demand, green e-commerce adoption, and emerging social commerce/Tier II-III markets offering 2-3x growth potential Impact Level 	 RESTRAINTS - High infrastructure costs, data privacy/cybersecurity compliance burden, and rising import duties limiting cross-border commerce accessibility - Supply chain disruptions, energy/environmental concerns, and regulatory fragmentation across 37+ markets increasing operational complexity Impact Level 	 OPPORTUNITIES - AI-powered personalization and sustainable e-commerce driving consumer engagement in second-hand markets and emerging channels - Untapped Tier II/III populations in emerging Asia and Latin America offering 2.2-2.8x expansion potential by 2030 Impact Level 	 CHALLENGES - Last-mile logistics bottlenecks in rural areas and geopolitical supply chain risks threatening fulfillment speed - Antitrust scrutiny on mega-platforms, BNPL regulation tightening, and carbon footprint pressures on data centers/fulfillment Impact Level 

SUMMARY: India's e-commerce sector stands out as the most compelling growth story in a globally maturing digital commerce landscape facing recessionary pressures, inflation, and debt challenges. While China and the USA dominate by sheer scale, India's unique combination of world-class digital infrastructure, mobile-first consumers, and vast untapped Tier II/III markets positions it to outpace global peers dramatically. The sector's transition from hypergrowth to sustainable profitability—fueled by omnichannel innovation, government support like ONDC, and rising social commerce—creates a compelling investment case. Strong sub-sectors like FinTech, B2B platforms, and HealthTech further amplify the opportunity, though execution risks around logistics, regulatory hurdles, and platform consolidation remain. Strategic opinion: India's e-commerce isn't just growing fast—it's structurally positioned to become the world's second-largest market by decade's end, driven by demographic tailwinds and policy momentum unmatched globally.

INDIAMART INTERMESH LTD

indiamart.com | BSE: 542726 | NSE: INDIAMART | Sector: Retailing

Market Cap.	13,317
High / Low	2,799 / 1,850
Eq. Shares (cr)	6.01
Face Value	10.0

Financials & Valuations

Y/E March	FY25	FY24	FY23
Sales	1,388	1,197	985
Operating Profit	474	291	230
OPM %	34	24	23
PBT	706	454	371
Net Profit	551	334	284
EPS	91.73	55.68	46.38
Dividend Payout	54%	36%	22%

Ratios

ROCE (%)	34.2
Current ratio	2.30
Inven TO	-
Debt/equity	0.01
P/E	24.8
Industry P/E	30.8
P/Bv	6.16

CMP: INR 2,194

TP: INR 2,900 (32.17%)

Mid

About

IndiaMART, the first and largest B2B digital marketplace in the country, today stands out as a game-changer on the B2B landscape. It focuses on integrating the Small and Medium Businesses (SMEs) into the new paradigm with speed and ease, we are constantly pushing the frontiers of innovation to make the online marketplace more accessible, visible and engaging to them.

IndiaMART dominates online B2B classifieds with ~60% market share, boasting 7.9M supplier storefronts, 214K paying subscribers, 108M live listings, and 252M traffic users. Its marketplace spans 56 industries (no category >8%), 98K products, with buyers/sellers diversified: metros (30%/54%), Tier II (25%/27%), rest India (45%/19%). SME-focused platform enables price discovery, connects, and payments; subscription model drives revenue (top 10% subs: 47% revenue, ARPU ₹2.61L). Sales/distribution costs 20% of revenue via 150+ partners, 4.4K in-house team across 1K+ cities. Strategic bets include accounting (FY23 ₹650Cr: Vyapar 27.5%, Busy 100%, LiveKeeping 66%—Tally-mobile integration) and others like Bizom 25%, Shipway 26%; ~95% revenue from core, post-mergers (Hello Trade/Tolexo into Busy).

Pros

- Company has reduced debt.
- Company is almost debt free.
- Company has delivered good profit growth of 29.1% CAGR over last 5 years
- Company has been maintaining a healthy dividend payout of 37.3%
- Company's median sales growth is 23.6% of last 10 years

ADITYA VISION LTD

adityavision.com | BSE: 540205 | NSE: AVL | Sector: Retailing

CMP: INR 482

TP: INR 575 (19.3%)

Low

About

Aditya Vision Ltd, incorporated in 1999, is engaged in trading of electronic items and is a service oriented electronic retail chain in Bihar dealing in consumer durables of all kinds.

MARKET LEADERSHIP:

It is the largest electronics retailer in Jharkhand and holds 50 %+ market share in Bihar. It is 1st Consumer Electronics Retailer to be listed.

FOCUS:

The company aims to grow at 20-25% revenue CAGR over the next 3 - 5 years. It is progressing towards Central UP from Eastern UP. Business is ready to scale beyond Bihar, Jharkhand & UP to adjoining states in the "Hindi Heartland" over the next 3-5 years based on the "Creeping Cluster Approach".

SOURCING MODEL:

The company follows a direct sourcing approach, with 85% of its inventory procured directly from Original Equipment Manufacturers (OEMs).

Pros

- Company has delivered good profit growth of 50.6% CAGR over last 5 years
- Company has a good return on equity (ROE) track record: 3 Years ROE 26.3%
- Company's median sales growth is 29.6% of last 10 years

Market Cap.	6,560
High / Low	599 / 328
Eq. Shares (cr)	12.9
Face Value	1.0

Financials & Valuations

Y/E March	FY25	FY24	FY23
Sales	2,260	1,743	1,322
Operating Profit	208	170	133
OPM %	9	10	10
PBT	143	107	86
Net Profit	106	77	64
EPS	8.20	6.01	5.33
Dividend Payout	13%	23%	14%

Ratios

ROCE (%)	19.1
Current ratio	2.29
Inven TO	3.40
Debt/equity	0.65
P/E	60.7
Industry P/E	55.7
P/Bv	9.71

Chief Investment Officer (CIO) of WhiteRock



Harsh Aryan

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IIM Indore | CFA L1 Candidate |
Finlatics (Equity market analyst)

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References:

1. Excel sheet: [Dynacon Systems & Solutions Financial Modelling](#)
2. All the other sources are mentioned below the respective article / Image.

END-Note: I really enjoy doing this research, and I wanna thank IITG' Finance club for bringing this opportunity. Due to a lack of time and the maximum slide limit, I couldn't do Management analysis and More in depth financial modelling for other stocks except for Dynacon system & solutions. Also, to make the MF more safe and risk free I thought of adding few bonds to it: 1. Muthoot Finance Limited 7.9% 30-MAY-2031. 2. Muthoot Capital Services Limited 10.35% 03-APR-2027. 3. Muthoot Fincorp Ltd. 10.05% 15-JUN-2028